

Nvidia Corporation

Annual Business Review — Fiscal Year 2024

Fiscal Year Ending January 28, 2024

1. Business Overview

Nvidia Corporation is a global technology company that designs graphics processing units (GPUs), system-on-chip units, and application programming interfaces (APIs) for gaming, professional visualisation, data centre computing, and automotive applications. Nvidia operates as a fabless semiconductor company — it designs chips but outsources all manufacturing to foundry partners, primarily Taiwan Semiconductor Manufacturing Company (TSMC).

Fiscal year 2024 was a transformational year for Nvidia. The explosive growth of generative artificial intelligence applications created unprecedented demand for Nvidia's H100 and A100 data centre GPUs. Nvidia's Data Centre segment revenue grew 217% year-over-year to USD 47.5 billion, making Nvidia one of the fastest-growing large-cap technology companies in history.

2. Manufacturing and Supply Chain

2.1 TSMC as Primary Manufacturing Partner

Nvidia relies on TSMC as its primary manufacturing partner for advanced GPUs and SoCs. The H100 GPU — Nvidia's flagship data centre product — is manufactured on TSMC's 4-nanometer (N4) process node. The B100 and B200 Blackwell-architecture GPUs, announced in fiscal year 2024 for delivery in fiscal year 2025, are manufactured on TSMC's 4NP custom process. Nvidia does not own or operate any semiconductor fabrication facilities.

Nvidia's dependence on TSMC creates shared exposure to the geopolitical risks associated with Taiwan. A disruption to TSMC's manufacturing operations would halt Nvidia's ability to produce GPUs, directly affecting Nvidia's revenue and its customers' AI infrastructure programmes. Nvidia has indicated it is exploring relationships with Samsung Foundry as a secondary manufacturing source for certain product lines, but TSMC remains the primary partner for all advanced node production.

2.2 ASML EUV Dependency — Indirect Exposure

Although Nvidia does not purchase equipment from ASML directly, Nvidia's manufacturing supply chain is indirectly dependent on ASML's EUV lithography systems. TSMC uses ASML EUV machines to pattern the sub-7-nanometer features in Nvidia's H100 and Blackwell GPUs. Because ASML is the sole global supplier of EUV systems, any disruption to ASML's production, export licensing, or technology transfer would propagate upstream to TSMC and ultimately affect Nvidia's chip supply. This creates a

four-layer dependency chain: ASML supplies EUV machines to TSMC, TSMC manufactures chips for Nvidia, Nvidia sells GPUs to hyperscale cloud providers including Amazon Web Services, Microsoft Azure, and Google Cloud.

3. Financial Performance

Segment	FY2024 Revenue	FY2023 Revenue	YoY Growth
Data Centre	USD 47.5B	USD 15.0B	+217%
Gaming	USD 10.4B	USD 9.1B	+14%
Professional Viz	USD 1.6B	USD 1.5B	+1%
Automotive	USD 1.1B	USD 0.9B	+21%
OEM & Other	USD 0.5B	USD 0.9B	-42%
Total	USD 60.9B	USD 27.0B	+126%

4. Competitive Landscape

Nvidia faces competition from AMD in both gaming GPU and data centre accelerator markets. AMD's MI300X GPU, manufactured on TSMC's 5-nanometer process, competes directly with Nvidia's H100 in AI training and inference workloads. Apple has also entered the high-performance compute market with its M-series chips, which compete with Nvidia in certain edge inference and professional workstation applications.

Hyperscale cloud providers including Google (with its TPU v5 chips), Amazon (Trainium and Inferentia chips), and Microsoft (Maia 100 chip) are developing custom AI accelerators that could reduce their dependence on Nvidia GPUs over time. All of these custom chips are manufactured by TSMC or Samsung Foundry, creating a competitive dynamic where Nvidia and its largest customers compete for TSMC's most advanced process node capacity.

5. Risk Factors

Supply Concentration at TSMC

Nvidia sources substantially all of its GPU manufacturing from TSMC. Any disruption to TSMC's operations — including from natural disasters, geopolitical events, or equipment failures — would materially harm Nvidia's ability to fulfil customer orders.

Export Control Regulations

The United States has imposed export control restrictions on advanced AI chips, including Nvidia's H100 and A100 GPUs, for sale to China and certain other countries. These restrictions reduce

Nvidia's addressable market and require ongoing product redesigns to produce compliant lower-performance variants for restricted markets.

Customer Concentration

A small number of hyperscale cloud providers — including Microsoft, Google, Amazon, and Meta — account for a significant portion of Nvidia's Data Centre segment revenue. Loss of any major cloud customer would materially impact Nvidia's financial results.